For example,

On day one the exchange rate is ₹50 = US $1

On day two the exchange rate is ₹52 = US $1.

It refers to Rupee depreciation.

Appreciation

Fall in the exchange rate i.e increase in the external value of domestic currency, due to additional demand for home currency (or less supply of home currency) or less demand for (or more supply of) foreign currency is called Appreciation.

For example,

On day one the exchange rate is ₹50 = US $1

On day two the exchange rate is ₹48 = US $1.

It refers to Rupee appreciation.

Devaluation

Reduction in the external value of home currency is called Devaluation. For example, changing the exchange rate from ₹50 = US $1 to ₹75 = US $1 is called devaluation. Devaluation is aimed at increasing export of the country. It is usually resorted to correct the deficit in the balance of trade or current account balance.

How Export Increases

Both depreciation and devaluation helps to increase export. This can be clearly illustrated by the following example:

Consider price of rice per kg is ₹25, and consider that a foreigner wants to import rice from India. When the exchange rate is ₹50 = US